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1100 NEW YORK AVENUE, NW
WASHINGTON, DC 20005

February 10, 2026

Vanessa Countryman
Secretary
Securities and Exchange Commission
rule-comments@sec.gov

Re: File Number 4-862 (SEC Roundtables on Trade-Through Prohibitions)

Dear Secretary,

Nasdaq appreciates the opportunity to comment in connection with the December 16, 2025, roundtable to discuss Rule 611 of Reg NMS,¹ the Trade-Through Rule. Nasdaq continues to support the Commission's demonstrated willingness to reassess Reg NMS in light of how the market has developed over the almost 21 years since its adoption. Nasdaq particularly appreciates the Commission's thoughtful approach to soliciting public comment from industry participants and the investing public.

As Nasdaq stated in its prior comment letter in connection with the roundtables held in 2025,² as well as in the roundtables themselves, we support Chairman Atkins's goal to allow free competition in the securities market, and to remove unwarranted and counterproductive distortions created by government mandates. We would like to take this opportunity to comment in particular on the future of the Access Fee Cap ("Cap") (Rule 610(c) of Reg NMS)³ if the Trade-Through Rule were to be rescinded.

The Cap is and always has been based on the existence of the Trade-Through Rule; eliminating the Trade-Through Rule eliminates the basis for the Cap. When it adopted the Cap in 2005 as part of Reg NMS, the Commission justified the Cap primarily based on its simultaneous adoption of the Trade-Through Rule.⁴ This linkage was recognized by Commissioners Atkins

¹ 17 CFR § 242.611. Rule 611 is also often referred to as the Order Protection Rule.

² See Letter from John A. Zecca to Secretary, Commission (Sept. 23, 2025), available at <https://www.sec.gov/comments/4-862/4862-662547-1977554.pdf>.

³ 17 CFR § 242.610(c).

⁴ See Securities Exchange Act Release No. 51808 (June 9, 2005), 70 FR 37496, 37544 (June 29, 2005) ("The benefits of strengthened price protection and more efficient linkages could be compromised if trading centers are able to charge substantial fees for accessing their quotations."). See also Securities Exchange

and Glassman in their dissent to Reg NMS (“One of the consequences of limiting investor choice to the sole criterion of price is that the Commission must ensure that markets have comparable access to these prices. This has required the Commission to adopt a cap on access fees so that market participants are not held hostage by outlier markets displaying the best price, but charging excessive access fees.”).⁵

Even as markets have evolved, the Commission has restated the link between the Trade-Through Rule and the Cap. Most recently, Commissioner Peirce pointed out this linkage between the Cap and the Trade-Through Rule (“given the continued existence of the order protection rule, which forces market participants to access markets without regard for the price of entry, the Commission probably has a role to play in preventing excessive access fees Indeed, the difficulty of [calibrating the access fee caps at the right level] is one of the reasons I would like to be out of the rate-setting business entirely.”).⁶

Nasdaq agrees with these statements from the Commissioners, which is why we believe that the elimination of the Trade-Through Rule would necessitate a return to the free market on fees with an elimination of the Cap.

The Post-Trade-Through Rule World

At the December roundtable, some panelists disagreed with the goal of restoring free market competition on fees, and instead argued for continued government rate-setting. These panelists argued that even without the Trade-Through Rule, an access fee cap would still be needed to ensure the usefulness of quotation information (even if it is not, necessarily, the particular cap that the new Rule 610(c) currently prescribes). Specifically, these panelists argued that at the time Reg NMS was adopted, the Commission was concerned that outsized fees and rebates would lead to disseminated prices not reliably indicating the actual prices available to investors.

Nasdaq disagrees. In today’s highly competitive environment of 17 active national securities exchanges and 33 active ATSSs, concerns about quote and trade competition and of outsized fees or rebates distorting prices are outdated. Competition already constrains pricing behavior, as evidenced by ever-declining trading costs to investors. There are even more trading venues planning to come online, multiple exchanges (including Nasdaq) are working to facilitate the trading of tokenized NMS stocks, and exchanges are continuously innovating ways to attract order flow. There is no economic or other basis to think that eliminating the Trade-Through Rule will in any way decrease competitive pressures on pricing.

Act Release No. 101070 (Sep. 18, 2024), 89 FR 81620, 81644 (“Rule 610(c) was designed to preclude trading centers that posted protected quotations from raising their fees in an attempt to take improper advantage of the trade-through protections adopted under Rule 611.”).

⁵ See Dissent of Commissioners Cynthia A. Glassman and Paul S. Atkins to the Adoption of Regulation NMS (June 9, 2005), available at <https://www.sec.gov/files/rules/final/34-51808-dissent.pdf>, 37.

⁶ See Commissioner Hester M. Peirce Statement on Proposal to Amend Rules Governing Access Fees and Tick Sizes and to Accelerate Certain Market Data Changes (Dec. 14, 2022), available at <https://www.sec.gov/newsroom/speeches-statements/peirce-tick-size-20221214>.

In fact, Nasdaq (again) urges the Commission to reduce government intervention elsewhere to promote innovation and other forms of competition beyond pricing. Free market competition would place limits on how much more exchanges could charge or rebate compared to what they do already. Furthermore, any concerns about the potential effect of fees or rebates would be mitigated if the Commission were to free exchanges to innovate and compete on grounds beyond price alone. If one of the goals of the Commission’s expected rulemaking on the Trade-Through Rule is to enhance free competition in the securities markets, then all venues—including exchanges—must be free to innovate and compete, including on pricing. It would be inconsistent for the Commission to rescind the Trade-Through Rule to enhance free competition, while still constraining exchanges with the sort of New Deal-style rate-setting that the Cap represents.

Those arguing in favor of continued rate-setting incorrectly assume that fees and rebates are hidden from investors. This has never been true of exchange fees and rebates. Exchange fees and rebates are publicly filed with the Commission, published in the Federal Register, and posted on exchange websites—all pursuant to Commission rules. Additionally, the Commission’s new Rule 610(d),⁷ often referred to as the Fee Transparency Rule, ensures not only that fees and rebates are published, but also that they be determinable by market participants at or before the time of trade. The Fee Transparency Rule already provides an effective framework for allowing free price competition between different trading venues.

When the Commission adopted the Fee Transparency Rule, it pointed out that “because the rule will allow market participants to know the amount of fees and rebates that are applicable to their transactions at the time of the trade, the rule will facilitate the ability of broker-dealers to pass back to their customers . . . fees, rebates, and other forms of remuneration in a more timely fashion.”⁸ Furthermore, as the Commission also pointed out, “to the extent that determinable fees make it easier for broker-dealers to communicate fees and transmit them to end customers, doing so could help eliminate distortions that might occur due to potential conflicts of interest.”⁹ Thus, the new Fee Transparency Rule should adequately address any concerns about access fees and rebates distorting broker-dealer order routing behavior.

Additionally, the duty of best execution, which requires broker-dealers to take into account, among other things, the true cost to their customers of the trades they execute on their behalf, should alleviate any remaining concerns about removing artificial pricing constraints. If the Commission doubts that the duty of best execution, as currently understood, sufficiently addresses concerns about fees and rebates distorting order routing behavior, the Commission can strengthen best execution standards by, for example, requiring broker-dealers to apply the same principles when handling their customer orders as they do when handling their proprietary orders.

⁷ 17 CFR § 242.610(d).

⁸ See Securities Exchange Act Release No. 101070 (Sept. 18, 2024), 89 FR 81620, 81664 (Oct. 8, 2024) (File No. S7-30-22) (Regulation NMS: Minimum Pricing Increments, Access Fees, and Transparency of Better Priced Orders).

⁹ See id. at 81761.

Finally, if the Trade-Through Rule were rescinded, the current link in Rule 610(c)¹⁰ between the Cap and protected quotations would no longer apply. Therefore, to the extent that a cap could possibly be retained, based on the text of Rule 610(c), it would no longer be tenable to apply it only to exchanges.

In conclusion, Nasdaq sees no basis for continuing New Deal-style government rate-setting in the absence of the Trade-Through Rule. Therefore, if the Trade-Through Rule is rescinded, so should the Cap.

Nasdaq appreciates the Commission's consideration of this comment letter. We are available to the Commission and its staff at your convenience to discuss any questions you may have.

Sincerely,

A handwritten signature in blue ink, appearing to read "John A. Lee".

¹⁰ See 17 CFR § 242.610(c) ("A trading center shall not impose, nor permit to be imposed, any fee or fees for the execution of an order against a protected quotation of the trading center or against any other quotation of the trading center that is the best bid or best offer of a national securities exchange or the best bid or best offer of a national securities association in an NMS stock that exceed or accumulate to more than the following limits . . .") (Emphasis added).